



4-2-2025

To
Shri Narendra Modi Ji
Hon'ble Prime Minister of India
New Delhi

Subject: Heartfelt Appreciation for a Visionary Budget Empowering MSMEs, Startups, and the IT Trade Sector

Respected Pradhan Mantri Ji,

On behalf of the **Federation of All India IT Associations (FAIITA)** and over **50,000 IT traders across the country**, we extend our heartfelt gratitude for presenting a **progressive and inclusive Union Budget** that aligns with the vision of a *Viksit Bharat* and *Atma Nirbhar Bharat*. This budget introduces several transformative measures poised to significantly impact the IT trade sector and the broader economy.

Key Highlights Applauded by the IT Trade Community

1. Empowerment of MSMEs and Startups

- The **abolition of the angel tax for all classes of investors**, effective from April 1, 2024, is a monumental step toward fostering a more robust startup ecosystem.
- The **increase in the Mudra loan limit to ₹20 lakh** from the current ₹10 lakh for entrepreneurs who have successfully repaid previous loans under the 'Tarun' category will provide substantial financial support to emerging businesses.
- The establishment of a **₹1,000 crore Venture Capital Fund for Space Startups** underscores the government's commitment to innovation and the expansion of the space economy.

2. Income Tax Reforms Benefiting the Middle Class

- The **significant increase in the personal income tax threshold**, raising it from ₹8.07 lakh to ₹14.8 lakh, is expected to boost household consumption and savings, thereby stimulating economic growth.
- Adjusted tax brackets further benefit individuals earning up to ₹24 lakh, enhancing disposable income and encouraging investment.

Customs Duty Restructuring to Promote IT Hardware Growth

- The **reduction in import duties on various consumer goods**, including electronic components, will make IT products more accessible and foster a competitive business environment.
 - These reforms are anticipated to encourage domestic assembly and manufacturing, aligning with the goal of creating an **Atma Nirbhar IT sector**.
- 3. Boost to Digital Economy and E-Governance**
- The budget's emphasis on **digital payments, e-commerce, and AI-driven governance** will create new avenues for IT traders and businesses.
 - Investments in **cybersecurity, data centers, and cloud infrastructure** will provide new business opportunities for IT service providers and entrepreneurs.
- 4. Increased Support for Employment and Skilling**
- The **introduction of a comprehensive scheme providing internship and apprenticeship opportunities to youth in the top 500 companies**, aiming to benefit 1 crore youth over five years, will bridge the skill gap and prepare a future-ready workforce.
 - The **upgradation of 1,000 Industrial Training Institutes (ITIs)** in collaboration with state governments and industry partners will further enhance skill development.

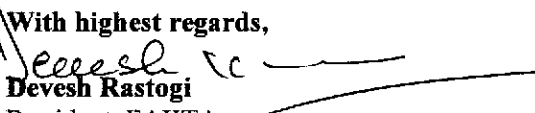
FAIITA's Commitment to Nation-Building

We acknowledge and appreciate the government's continuous efforts in promoting **ease of doing business, digital transformation, and inclusive economic policies**. Under your visionary leadership, India is rapidly emerging as a global hub for technology, trade, and innovation.

FAIITA, as the collective voice of **over 50,000 IT traders, distributors, and system integrators**, is fully committed to supporting and implementing the policies outlined in the budget. We will actively work towards enhancing the IT trade ecosystem, promoting digital literacy, and ensuring that the benefits of these reforms reach businesses at all levels.

Once again, we express our deepest appreciation for this **forward-looking budget** and pledge our continued support in making India a global leader in technology, trade, and entrepreneurship.

With highest regards,


Devesh Rastogi
 President, FAIITA

Copy : Shri Sunil Singhi
Chairman, National Traders Welfare Board
New Delhi